

CASE STUDY / BIO-PHARMA ENGINEERING

Defending Value in Bio-Pharma Engineering

A succession exit for a premier engineering firm serving the high-growth GLP-1 pharmaceutical sector — value defended through a mid-diligence black swan and a difficult internal partnership.

SECTOR Bio-Pharma Mfg. & Engineering Services	TRANSACTION Strategic Bolt-On & Succession Exit	CLOSED November 2024	RESULT 9.0× EBITDA defended
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THE SITUATION

Engineering a specialized succession.

The owner-operator of a premier engineering firm specializing in bio-pharma manufacturing facilities sought a path to retirement. While uniquely positioned within the high-growth GLP-1 pharmaceutical production sector, the path to an exit was complicated by a challenging internal partnership.

The seller required an advisor who could professionally navigate sensitive partner dynamics while articulating the firm's complex technical value to a broad buyer pool.

THE CHALLENGE

Beyond the surface.

Financial Reconstruction

The firm operated on cash-basis accounting with an atypical compensation structure. To make the business transactable, we recommended ancillary accounting support to validate the true financial position.

A Mid-Diligence “Black Swan”

At the 11th hour, a key offer was temporarily withdrawn. Despite the volatility and loss of a major customer, we re-leveraged the firm's niche expertise to defend a premium valuation.

Internal Friction

We acted as a shield between the buyer and an uncooperative, absentee stakeholder — keeping the transaction professional and on schedule despite significant internal antagonism.

THE BOUTIQUE STRATEGY

Competitive tension & technical advocacy.

Broad-Auction Execution

We researched and targeted ~150 potential buyers, from PE-backed platforms to national strategies — resulting in 8 IOIs and 2 aggressive finalists.

Technical Value Positioning

A deep dive calibrated the platform's exact fit in the pharmaceutical marketplace. Framing the firm as a mission-critical link in the GLP-1 supply chain sustained demand.

Hands-On Coaching

We kept the seller in the driver's seat throughout — constant coaching so the owner could run the business without interruption.

THE RESULTS

A full exit — value protected under pressure.

9.0×

EBITDA multiple defended through the mid-process loss of a major client.

+20–25%

True EBITDA uncovered by correcting the cash-to-accrual gap.

150

Buyers targeted → 8 IOIs → 2 aggressive finalists.

10/10

Client-rated experience — a full exit despite partnership instability.

The firm closed with a privately-held, employee-owned national strategic, providing a seamless cultural transition for its employees.

“What I ultimately loved about Madfarm was not just the value provided, but how instinctively it was done. I always felt in the driver's seat without tying up my time, allowing me to run my business without interruption. Madfarm remains a shining example of what good business practice is all about — honesty and integrity every step of the way.”

Seller / Owner-Operator · Bio-Pharma Engineering Firm